

critical question is: where will this growth come from? At the moment, two tech giants, Walmart-owned PhonePe and Google Pay, together account for 80% of transaction volumes. In January 2021, NPCI implemented a cap of 30% on the market share of third-party players like GPay and PhonePe to prevent monopolisation, reduce systemic risk, and encourage innovation. But, globally, digital markets tend to be monopolistic, like with WhatsApp in messaging and Google in the search engine space.

NPCI believes that the market will balance itself over time. Kalawatia of NPCI says options are continually expanding. NPCI has introduced a UPI plug-in that allows direct in-app payments on merchant or e-commerce platforms.

Besides, in the capital market, UPI is now available for investments in initial public offerings (IPOs) and secondary market transactions. In IPOs, investors can instruct their brokers to use their UPI IDs for payment when completing applications. Many retail participants, helped by digital investment platforms such as discount brokers Zerodha and Groww, are increasingly opting for the UPI route for IPO applications.

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The big challenge is the zero MDR in person-to-person (P2P) transactions. In the payment chain, everyone bears a cost. NPCI charges banks for interchange services. The banks, in turn, receive partial reimbursement from the government under incentive schemes. There is, however, no direct revenue stream available for payment service providers or PSPs because of zero MDR. They do make some money in person-to-merchant (P2M) transactions or by distributing third-party products like deposits, mutual funds, or insurance. In fact, there is a set-up cost to acquiring offline merchants, and banks have to create additional capacity to process high-volume and low-value UPI transactions. But who will bear the cost of achieving 10x growth? Moghe says, “We are migrating some of the PSPs to the cloud. We have realised that continually investing in servers builds significant costs, and the resilience will not be optimal. We continue to make these investments.”

At present, the majority of UPI transactions are P2P, contributing 60% in volumes. This raises the question of whether a small or reasonable MDR on them could fund the payment infrastructure or the ecosystem. Interestingly, P2M transactions play a crucial role in funding the entire system, especially for small merchants.

But UPI's use cases go beyond transactions within India. That was evident during India's presidency of the G20, when it showcased the India Stack, of which the UPI was a crucial element. Though that expansion will take time, having a digital connection with 15 countries



“Traditional POS systems have evolved, and new ones are based on the Android platform... allowing you to integrate services and run loyalty programmes”

PARAG RAO

COUNTRY HEAD – PAYMENTS, CONSUMER FINANCE, DIGITAL BANKING, AND TECHNOLOGY, HDFC BANK



“We have started underwriting by using UPI data. We are seeing interesting results even before the credit on UPI officially begins”

SANJEEV MOGHE

PRESIDENT & HEAD – CARDS AND PAYMENTS, AXIS BANK

among the Top 30 in the next 15-20 years would be a game changer. NPCI has already initiated operations in seven nations: Singapore, the UAE, Bangladesh, Thailand, Nepal, Sri Lanka, and Bhutan. (See interview of Ritesh Shukla, CEO of NIPL.)

At present, cross-border charges are as high as 5-6%, and NPCI aims to disrupt this. The usage of the India Stack in the developing world will not only reduce cross-border charges but also provide interoperability of UPI with these countries. Over the next decade, India aims to be self-sufficient in remittances, especially in the Middle East and other neighbouring countries.

In sum, NPCI, under Asbe, is pursuing three key tracks for the next decade. First, reach 100 billion transactions per month, a 10x increase. Second, become a manufacturer of deep technology. Third, promote worldwide interoperability.

NPCI has its task cut out. But considering what it has achieved, you wouldn't bet against it. **BT**

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